



A COMMUNITY OF CHOICE

OFFICE OF THE CITY ENGINEER

2101 O'Neil Avenue Room 206

Cheyenne, Wyoming 82001

Phone (307)637-6268 Fax (307)637-6256

MEMORANDUM

DATE: September 21, 2022
TO: Honorable Mayor Patrick J. Collins
Members of the City Council

FROM: Thomas D. Cobb, PE, City Engineer

SUBJECT: **Railcar Storage Agreement between Cheyenne Rail Hub, LLC and the City of Cheyenne**

Please find the attached proposed Railcar Storage Agreement between the City of Cheyenne and Cheyenne Rail Hub, LLC being initiated by the City Engineering and Planning and Development Departments.

Reason for Agreement:

The primary reasons for the Railcar Storage Agreement:

- *Implementation of the Tourism Master Plan.*
In 2021, Cheyenne approved a new Tourism Master Plan that included the development of a new railroad attraction as one of its top goals. The main objective of that project is to showcase Cheyenne's railroad heritage. As a part of implementing that plan, the Union Pacific Railroad (UPRR) is donating fifteen (15) passenger railcars and a caboose which will require temporary storage.
- *Temporary storage of up to fifteen (15) rail cars.*
The railcars will be stored in an inconspicuous portion in the northwest portion of the rail park not directly visible or accessible to the public.
- *Potential rehabilitation and/ or asbestos abatement staging area.* Provide a potential area for the purpose of either renovation and/or asbestos abatement of some of the railcars.

Cost and Funding:

For each railcar which is stored pursuant to the term of the Agreement, the Storage Facility will receive the following fees:

Memorandum
Honorable Mayor Patrick J. Collins
Members of City Council

September 22, 2022
Page 2 of 2

- Storage of the rail cars will be without cost to the City of Cheyenne for a period of one year from the execution of this agreement.
- After the one-year period, a ten (10) dollar per railcar, per day for each day railcar or fraction thereof is on Storage Facility's tracks or property.
- All outside costs incurred from the Class One rail Operator Union Pacific Railroad (UPRR), or the Short Line Operator (SRRR), moving into or out of the Storage Facility will be passed onto, or paid by the City of Cheyenne.

Therefore, the Summary of Costs and Funding are anticipated as follows:

- Costs:
 - 15 railcars x \$10/day x 365 days = \$54,750/ annually beginning in year two (2).
 - Outside costs incurred from the Class One rail Operator UPRR will be under separate agreement.
- Funding:
 - 2017 Specific Purpose Option Tax Fund
 - EDA Grant No. 05-79-06167 Cheyenne Railcar Project Grant (2 Cars)

Contract Term:

The contract is predicated on the storage of railcars and will terminate upon removal of the railcars.

RAILCAR STORAGE AGREEMENT

This Railcar Storage Agreement “Agreement” dated _____, between Cheyenne Rail Hub, LLC (“Storage Facility”) and the City of Cheyenne, (“City”), individually and collectively referred to as “Party” or “Parties”. The purpose of this Agreement is to provide for the temporary storage by Storage Facility of railcars owned, leased, or managed by the City.

In consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

I. STORAGE OF RAILCARS

- A. The City desires to store up to fifteen (15) rail cars on the ground near, but not on, the Storage Facility’s tracks for the purpose of renovation and asbestos abatement. The City of Cheyenne will be responsible for loading and unloading of the rail cars either on or off the tracks or on or off a vehicular freight transport.
- B. If the City desires to store its railcars on the Storage Facility’s tracks, it will notify the Storage Facility of the number of railcars it wishes to store and the dates on which the railcars will be tendered for storage. The Storage Facility will promptly advise as to whether, and to what extent, it can accommodate the City’s request.

II. FEES

For each railcar which is stored pursuant to the term of this Agreement, Storage Facility will receive the following fees:

- A. Storage of the rail cars will be without cost to the City of Cheyenne for a period of one year from the execution of this agreement.
- B. After the one-year period, a ten (10) dollar per railcar, per day for each day railcar or fraction thereof is on Storage Facility's tracks or property for the purpose of storage pursuant to this Agreement (“Monthly Fee”).
- C. All outside costs incurred from the Class One rail Operator Union Pacific Railroad (UPRR), or the Short Line Operator (SRRR), moving into or out of the Storage Facility will be passed onto, or paid by the City of Cheyenne.

III. INVOICING; PAYMENT OF CHARGES

All fees shall be invoiced monthly by Storage Facility to the City.

IV. FREEDOM FROM LIENS

Storage Facility covenants and agrees that no claim of lien, statutory or otherwise will be made against City's rail cars stored by Storage Facility but that Storage Facility will make and collect all charges for storage as an open unsecured account; and if there are any claims of lien which might be applied to such storage, this

Section shall be construed as a release of any such lien rights.

V. EFFECTIVE DATE AND TERM

- A. This Agreement shall become effective as of the date of the last signature on this agreement (“Execution Date”) unless sooner terminated or extended as provided in this Agreement. Either party may terminate this Agreement on thirty (30) days advance written notice to the other party hereunder.
- B. If this Agreement is terminated, the City shall, within thirty (30) days or by the date of natural expiration of this Agreement, forward Storage Facility shall move all of City's railcars stored on Storage Facility's tracks.

VI. DEGREE OF CARE; LIMITATION OF LIABILITY

- A. Storage Facility shall store City's railcars with the same degree of care that it would observe in storing its own railcars and railcars currently or previously stored for others.
- B. Storage Facility will not be responsible for any loss or damage to any railcar or lading therein, stored pursuant to this Agreement, except to the extent caused by Storage Facility's negligence or willful misconduct.
- C. The City or its agent shall maintain and mow the area approximately 25' from the surrounding the Storage Facility where the rail cars are housed for the purpose a fire barrier.
- D. The City or its contractors shall maintain insurance related to its activities or assets.

VII. INDEMNIFICATION/HOLD HARMLESS

Storage Facility agrees to indemnify, hold harmless and defend the City from and against any and all liabilities, claims, penalties, forfeitures and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result the performance of the Consultant's duties, including death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations or orders to the extent caused by (1) the Consultant's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error or omission by the Consultant, or its employees or sub-consultants in the performance of this Agreement. The Consultant acknowledges that it may incur a financial obligation to the City pursuant to the terms of this paragraph.

VIII. NOTICE

All notices required to be given by either party to the other (unless expressly stated otherwise in this Agreement), must be in writing and shall be delivered to the other party by overnight messenger service, United States certified mail with return receipt requested, or by overnight courier, and addressed as shown below. Either

party may designate a different address by sending notice of such address to the address shown herein.

City
2101 O'Neil Avenue
Cheyenne, WY 82001
Attn: Thomas D. Cobb

Storage Facility
P.O. Box 51661
Casper, WY 82605
Attn: Joe Stephenson

IX. SEVERABILITY

In the event that any provision of this Agreement (or portion thereof) is determined by a court of competent jurisdiction to be invalid or otherwise unenforceable, such provision (or part thereof) shall be enforced to the extent possible consistent within the stated intention of the parties, or if incapable of such enforcement, shall be deemed to be deleted from this Agreement, while the remainder of this Agreement shall continue in full force and remain in effect according to its stated terms and conditions.

X. ASSIGNMENT

This Agreement may not be assigned by either party without the prior written consent of the other.

XI. GOVERNING LAW, JURISDICTION AND VENUE

The construction, interpretation and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

XII. GOVERNMENTAL IMMUNITY

The City of Cheyenne, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retains all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

XIII. ENTIRE AGREEMENT

This Agreement sets forth the entire agreement between the Parties, and replaces and supersedes any prior agreements, understandings, negotiations, or discussions

between the Parties relative to the subject matter of this Agreement and may only be modified by a written amendment signed by an authorized representative of both Parties.

IN WITNESS WHEREOF, the parties have hereunto set their hands and seals the day and year first above written.

CITY OF CHEYENNE

BY:

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk

Storage Facility

By:

Name

Title

STATE OF WYOMING)
) ss.
COUNTY OF LARAMIE)

The foregoing instrument was acknowledged before me by _____
This _____ day of _____, 2022

Witness my hand and official seal.

Notary Public

My commission expires: _____